

8½ years, the box carried the attendant notice, NO ACTION WARRANTED, the recommendation since 1987 has been the conservative entreaty that you ensure PRESERVATION OF CAPITAL. It now reads CRISIS AHEAD. Unlike the message of 1982, this is not a comfortable one to deliver. Being a spokesman for the bull market was fine; the public is more comfortable buying and making money on the “long” side. Being a spokesman for a bear market, on the other hand, will bring scant rewards, since few people know how to profit from a bear. There is little satisfaction in saying, “I told you so,” and little added value in saying continually, “It’s going to get worse.” That is why I am writing this book now: to make one statement that will stand as a reference for the duration so I can get on to other things.

The bearish prediction in this book today arouses not merely bemused derision, but arrogant and heated dismissal. This common reaction is a sure sign that a very deeply shared social vision is being challenged. I know because I have been in this position before. 1980 was the year that the bull market in precious metals ended after 13 relentless years. Gold and silver topped out in January and mining stocks topped out in September. The true believers were in a bullish heat. Opinion was so one-sided that bears on precious metals were nearly nonexistent and bulls on common stocks could hardly get a hearing. People thought the few of us who said it was time to buy stocks on the New York Stock Exchange, and bonds from what all could see was a spendthrift government, were crazy for even suggesting such a thing. These suggestions challenged the shared social vision and were dismissed as a result.

Investor psychology is once again in exactly the same state. Today’s true believers are no different from those of 1980. But this time, we are witnessing not the peak of a bull market in precious metals, but in the very markets that no one wanted to buy in the early 1980s: pieces of paper called *stocks and bonds*. Once again, it has been 13 years since the bull market took off. Once again, bears on the markets in question can hardly get a hearing. The few of us who say you should be completely out of stocks and bonds and in shortest term yield bearing instruments are considered crazy for even suggesting such a thing. This outlook challenges the new shared social vision and is being dismissed accordingly.

At both ends of the Great Asset Mania, then, the long term Elliott Wave forecast was, and is, widely considered impossible. In 1982, there was a general conviction that Dow 1000 was the upside limit for any advance, and downside risk was substantial. Indeed,